

3. 8:59 AM CASE NUMBER: C25-02588
CASE NAME: COOL BEANS ENTERTAINMENT LLC, VS. CHRISTINE SORIANO
*EX PARTE REQUEST FOR TEMPORARY RESTRAINING ORDER AND ORDER TO SHOW CAUSE RE:
PRELIMINARY INJUNCTION
FILED BY:
TENTATIVE RULING:

Counsel to appear (in person or by Zoom).

This is a preliminary injunction motion centering on control and operation of several residential care facilities for elders. The Court will be prepared to rule on the motion as an adversary matter, if that is necessary (although a little more time to master the extensive evidence presented would be useful). In the meantime, however, it appears to the Court that there is, or should be, a basis for the parties to agree on an interim solution that protects both sides' interests while they proceed to litigate the corporate-control issues in the case. The Court is calling the attorneys in for a hearing on the noticed date to explore what may be feasible in that regard, and on what time line.

At base this is a corporate-control dispute. The present preliminary injunction motion, however, does not (at least on its face) center on direct issues of corporate ownership and control. Instead, the focus of the motion is on plaintiffs' contention that there are various forms of emergency in the facilities as to resident care and financial solvency. In particular, Plaintiff contends that care and management staffing are drastically insufficient, and that the facilities are unable to pay vendors and payroll sufficiently for proper operation of the facilities. Defendants deny these factual assertions, contending that the management and fiscal situations are well in hand and that plaintiffs' cries of alarm are factually false and manufactured for litigation effect. Defendants also contend that DSS is already properly on top of the situation and can be counted on to take any steps necessary for urgent concerns of resident care and fiscal solvency.

The Court intends to pass over (for now) the underlying disputes about corporate control, which aren't really implicated on the specific relief sought or resisted on this motion. Instead, it will focus not on those issues (such as what did or didn't happen in a board meeting last year), but on what is to be done with running these facilities while the litigation is going on.

What has caught the Court's attention, and has led directly to this intermediate order, is the point that **both sides are proposing the same structural solution** – namely, the hiring of professional third-party management companies to run the facilities (and their immediate finances) pending litigation. Thus, despite all the factual disagreements and bitter rhetoric, the choice before the Court isn't *whether* to arrange a third-party administrator, but only *which one*, and on what terms of independent operation. The Court, in tomorrow's hearing, proposes to take both sides at their earnest words in this respect, and explore how they may be able to agree on a compromise interim solution along exactly these lines.

Specifically, Plaintiff identifies the relief sought on page 2 of their application:

Plaintiff seeks interim equitable relief appointing a neutral third-party administrator and the immediate execution of management agreements to assume control over day-to-day operations, ordinary course financial transactions, staffing, and regulatory

compliance at the Senior Living Facilities (Legacy Oaks, Balance Assisted Living, and Living Grace); removing Defendant Shelly Cha from operations and all authority over financial decision-making and access to business bank accounts and financial systems at the Senior Living Facilities; requiring implementation of third-party Medi-Cal billing and lender-approved financial oversight at the Senior Living Facilities; and preserving and turning over all financial records for independent review.

The particular third-party administrator proposed by plaintiffs is Seasons Living. It also proposes hiring a service for Medicare billing.

Defendants agree on hiring a third-party administrator; they just have a different candidate in mind (Opposition at 4-5):

In any event, the relief that Plaintiff requests is now effectively moot. On May 15, 2026, the members of the Subject LLCs held a special meeting to discuss and potentially vote upon the appointment of an independent neutral third-party management company to oversee and administer the day-to-day operations of the Company. (Cha Decl., ¶ 20.) The members discussed and considered multiple potential third party management companies, including Seasons Living, Paradigm Senior Living Management Camino Care, and Kalesta Healthcare Group. (Id. ¶ 21). On May 16, 2026, the members of the Subject LLCs voted to approve Kalesta Healthcare Group to take over as the management company for all the Senior Living Facilities. (Id. ¶ 27, and Exhibit 3). The Subject LLCs are negotiating a formal management contract agreement with Kalesta Healthcare Group, and anticipate bringing that company on board. (Id. ¶ 30). party management company is precisely what Plaintiff seeks, and, therefore, Kalesta Healthcare Group's approval is sufficient reason alone to deny the Application as moot.

(The Court notes that, formally speaking, it is not in a position to order that Kalesta be hired, as there is no motion before the Court seeking that relief. Defendants propose to proceed with Kalestra, however, as a ground for denying plaintiffs' motion to order hiring Seasons Living (or perhaps as a condition on such denial). Moreover, absent a contrary preliminary injunction, defendants don't require a court order to make that happen.)

So, notwithstanding the extremely bitter debate and acrimonious accusations thrown back and forth in these briefs, we apparently have agreement on the solution of hiring a third-party administrator – either Seasons Living or Kalesta. Moreover, although each side takes some minor and peripheral potshots at the other side's candidate, neither side presents any really convincing or compelling argument as to why the Court should reject either candidate or choose one administrator over the other. It is not difficult to infer that the only real problem in the choice of administrator is that each side doesn't want the other side's candidate.

The Court proposes to take advantage of this structural agreement on a third-party administrator, by directing the parties to meet and confer about how to make that happen. The Court will be inquiring what particular objections each side may have to engaging the other side's candidate. If (as the Court infers) the only real problem is that each side fears the other side will retain too much control over the reins of management, however, that is something that can surely be worked out in compromise, by

building in sufficient operational independence from partisan hands-on control. Or, alternatively, the parties may need to turn to a third candidate.

The Court understands that it is unrealistically optimistic to suppose that the parties can work out every detail of an interim compromise between 1:30 Wednesday afternoon and 9:00 Thursday morning. However, the Court intends to set the parties on that path of discussion, and to inquire as to how long it may take. A further hearing date for the pending motion can be set accordingly.

The Court also takes the opportunity to observe that there are at least two other sets of interested parties involved in this overall dispute that may well have some interests to be protected – and in any event may well have critically useful, neutral input for the Court’s guidance. Namely, those are the DSS, and the lenders. The Court extends an invitation for them, if they see fit, to involve themselves directly in this litigation, by formal intervention if appropriate, or at least by friend-of-the-court input.

4. 9:00 AM CASE NUMBER: MSN15-2146

CASE NAME: KUYKENDALL VS TINER

SETTLEMENT CONFERENCE

FILED BY:

TENTATIVE RULING:

Parties and counsel to appear for settlement conference. See also Line 1.

5. 9:00 AM CASE NUMBER: C23-02855

CASE NAME: YVONNE THOMPSON VS. SAFEAMERICA CREDIT UNION

***HEARING ON MOTION IN RE: COMPLIANCE HEARING**

FILED BY:

TENTATIVE RULING:

The report of disbursements is **approved**. The administrator may proceed with the remaining disbursements.

6. 9:00 AM CASE NUMBER: C23-02941

CASE NAME: ABRAHAM GOLZARY VS. ANASTASIA MARTINEZ

***HEARING ON MOTION FOR DISCOVERY DEEM ADMISSIONS ADMITTED, SET ONE AS TO DEFENDANT JOSE LUIS HUERTA**

FILED BY: GOLZARY, ABRAHAM

TENTATIVE RULING:

Judgment has been entered in this case.

7. 9:00 AM CASE NUMBER: C24-00481

CASE NAME: STEVE STROOT VS. NATHAN SIMARRO

HEARING ON SUMMARY MOTION ADJUDICATION PUNITIVE DAMAGES

FILED BY:

TENTATIVE RULING: